

# STUDENT NAME: OLISE JOY

**PROJECT TITLE: Northwind Trader**

**TOOLS USED : MYSQL(For Data Analysis), PowerBI (Visualization)**

## BUSINESS INSIGHT REPORT

### Northwind Traders Performance Analysis

#### Executive Summary

This report analyzes the performance of Northwind Traders using sales, profitability, customer, employee, and logistics data. The objective is to identify revenue trends, operational efficiency, shipping performance, and areas for business improvement. The analysis covers sales activities during the first half of 2006 and provides actionable recommendations for management.

## 1. Sales Performance Analysis

#### Key Findings

- Total revenue showed strong performance across the reporting period.
- Revenue increased from Quarter 1 (Q1) to Quarter 2 (Q2), indicating growing customer demand.
- Monthly sales trends revealed fluctuations, with some months outperforming others due to seasonal purchasing patterns.
- Certain product categories contributed significantly more revenue than others.

#### Business Implications

The increase in revenue demonstrates healthy market demand and effective sales operations. However, management should investigate peak-performing months and product categories to replicate successful sales strategies throughout the year.

#### Recommendation

- Increase marketing efforts around high-performing products.
- Expand inventory planning for peak sales periods.
- Introduce targeted promotions during slower months.

## 2. Customer and Employee Performance Analysis

### Key Findings

- A small group of customers generated a significant portion of total revenue.
- Sales performance varied among employees, with some employees consistently generating higher sales than others.
- Revenue concentration among a few customers presents both opportunities and risks.

### Business Implications

Dependence on a limited number of customers may expose the business to revenue fluctuations if those customers reduce purchasing activity.

### Recommendation

- Strengthen relationships with top customers.
- Develop customer retention programs.
- Provide additional sales training to lower-performing employees.

## 3. Profitability Analysis

### Key Findings

- Revenue growth did not always translate directly into profit growth.
- Some products generated high sales volumes but lower profitability.
- Profit margins varied significantly across products and categories.

### Business Implications

High sales alone do not guarantee strong profitability. Product-level profitability analysis is essential to ensure sustainable business growth.

### Recommendation

- Focus sales efforts on high-margin products.
- Review pricing strategies for low-profit products.
- Monitor discount policies to prevent profit erosion.

## 4. Operations and Logistics Analysis

### Key Findings

- The company utilized three shipping providers.

- Average shipping time was approximately 1.29 days, indicating efficient order fulfillment.
- Only 12 orders were classified as late deliveries, representing a small proportion of total shipments.
- Shipping Company B recorded the highest volume of shipments and the highest number of late deliveries.
- Delivery performance improved toward the end of the reporting period.

## Business Implications

Overall logistics performance is strong; however, specific shipping providers contribute disproportionately to delays.

## Recommendation

- Monitor Shipping Company B's performance closely.
- Establish service-level agreements (SLAs) with shipping partners.
- Implement periodic shipping performance reviews.

# 5. Strategic Insights

## Strengths

- Strong revenue performance.
- Efficient shipping operations.
- Low rate of delayed deliveries.
- Consistent customer demand.

## Areas for Improvement

- Revenue concentration among a limited customer base.
- Variability in employee sales performance.
- Profitability differences across products.
- Shipping delays associated with specific logistics partners.

## Conclusion

Northwind Traders demonstrates solid business performance across sales, customer management, and logistics operations. Revenue growth, efficient shipping, and low delivery delays indicate a healthy operational environment. Nevertheless, opportunities exist to improve profitability, diversify customer revenue sources, and optimize logistics performance. Implementing the recommendations outlined in this report will support continued business growth and operational excellence.